Talah Almualad

Task 1: **Report.**

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This report discusses the fundamentals of Islamic finance and investment, highlighting the financial and Sharia requirements that must be fulfilled by businesses and sukuk to guarantee their adherence to Sharia provisions. It includes instructions on how to use the Bloomberg terminal to examine sukuk data and credit ratings.

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Overview of Islamic Finance

Company Vision

Achieving investment leadership in the Islamic finance sector through full adherence to ethical and Sharia standards, and enhancing confidence in Sharia-compliant investment instruments to ensure sustainable performance.

Company Mission

enhancing the efficiency of investment performance by learning more about the principles of Islamic finance and making sure that investments are made in businesses that abide by Sharia law and don't engage in usury or other forbidden activities.

Islamic Finance Core values :

1.

Basics of Enhancing Investment Performance:

Understanding the foundations of the Islamic financial industry is a prerequisite for improving investment performance.

2.

Requirement for Sharia Compliance:

As a basic requirement, every business that is being considered for investment must abide by the rules of Islamic Sharia.

3.

Prohibited practices and activities:

The lack of usury and prohibited activities in the business, such the manufacture of alcohol and pork, as well as other behaviors that are against the laws, guarantee sharia compliance.

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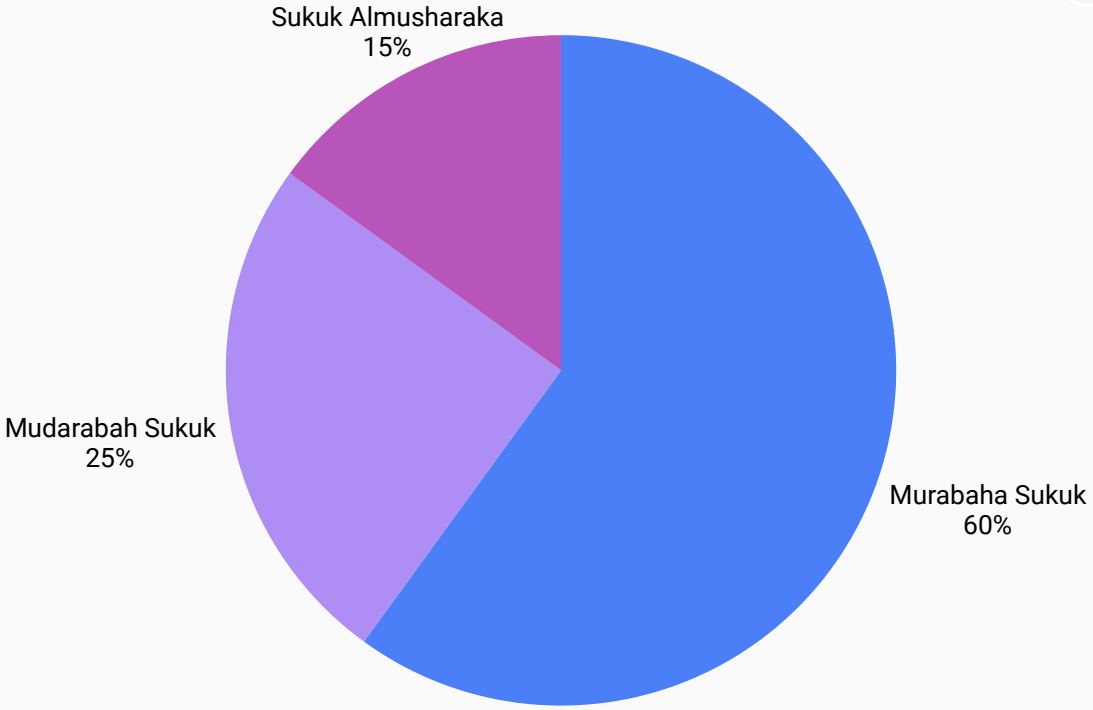
Investment in the Islamic market (Sukuk)



The percentages mentioned above are estimated percentages based on the Saudi Financial Market (Tadawul) reports for 2024-2025 to enhance your understanding of the prevalence of the types mentioned in your file.

Investment mechanism in the Islamic market:

By purchasing Islamic Sukuk and selling them in accordance with Sharia law, an investor can make investments in the Islamic market.

Risk level and types:

Compared to equities, sukuk are less risky and adhere to Islamic law.

Diversity of investment instruments:

Sukuk come in a variety of investor-friendly forms, such as Mudarabah, Murabaha, and Musharakah sukuk.

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The sukuk's most crucial information and technical specifications

The importance of reviewing data

Before making a choice, an investor should thoroughly examine the sukuk's details and read the relevant facts.

Nominal value and quantity

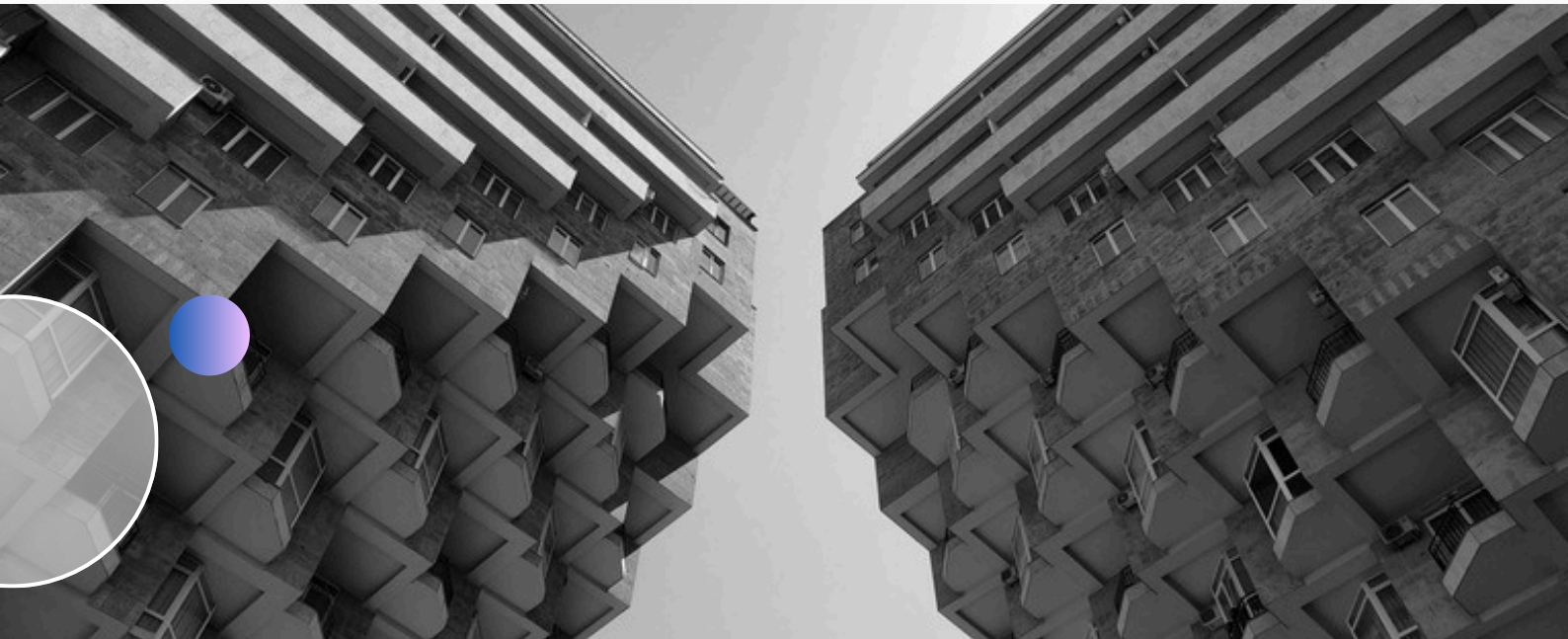
Knowing the bond's nominal value and basing the quantity on it rather than the quantity of units yields the most crucial information.

Pricing of sukuk

The nominal value is used to compute the price, which is then expressed as a percentage of it.

Yield and Maturity Date

Examining the anticipated return from Sukuk when bought at the market price while accounting for the maturity date is part of technical analysis.



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Evaluation of international businesses and organizations

1. Importance of international monitoring

Examining the assessments of international organizations like S&P and Fitch Ratings is crucial for investors.

2. Issuer Assessment

In order to guarantee the sukuk's quality, the grading focuses on assessing the organizations and businesses who issued it.

3. The significance of the excellent rating

Receiving a rating like (AAA) shows that the business has excellent financial standing.

4. Creditworthiness assessment

A good rating indicates that the business is well-positioned to pay off its debt and meet its financial commitments.

Explanation

Rating code	Credit status	Meaning
AAA	Excellent	The company's ability to pay its debt is very high.
AA / A	High quality	A strong ability to meet financial obligations.
BBB	Investment (Medium)	Sufficient ability to repay, but with greater caution.

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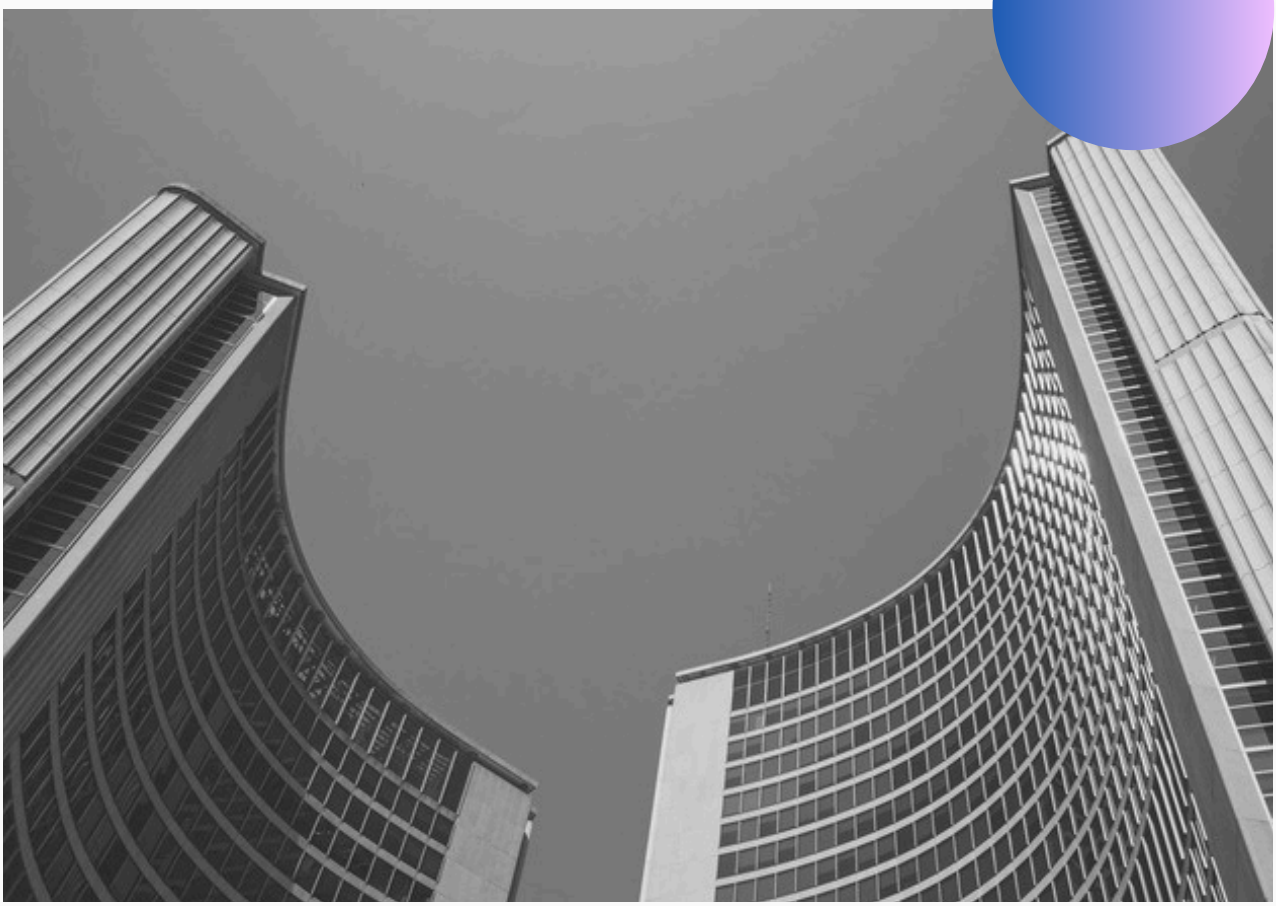
Standards and Financial Guidelines for Sharia Compliance



Usury debt controls

The overall amount of interest-bearing debt should not be more than 33% of the total assets of the business.

Cash liquidity limits

The percentage of cash and cash equivalents and cash allocated to assets must be less than 33%.

Accounts receivable

Both the ratio of cash and cash equivalents and the ratio of accounts receivable to assets should stay below 50%.

Commitment to operational activity

Ensuring that the business's operations are free from forbidden components like usury or the manufacturing of alcohol and pork is necessary to attain full Sharia compliance.

Case Study: Bloomberg Terminal and Samba Bank

سامبا
samba

Citing a real example

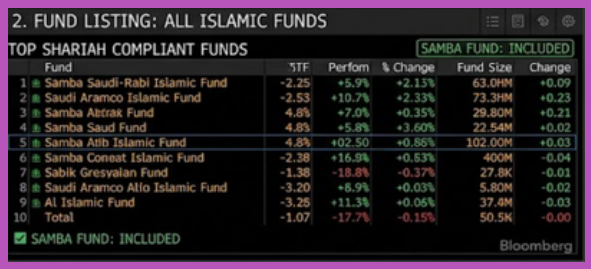
Samba Bank is a living example of an institution or bank compliant with Islamic law based on data extracted from Bloomberg Terminal.

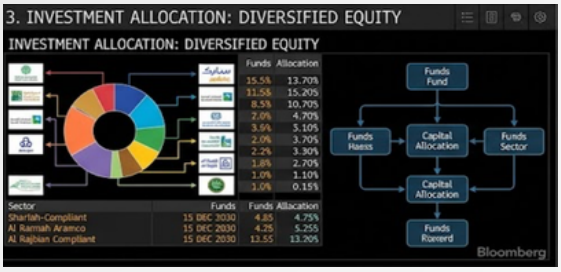
Programmatic Classification (Ticker)

Investors can more easily identify the bank's Sharia compliance because it appears in the system as being listed under the ISLM-Equities tool.

Inclusion in funds

Additionally, the bank is listed on the Bloomberg terminal's All Islamic Funds list.





Nature of Investment

In particular, the bank's fund purchases shares of publicly traded businesses that adhere to Islamic law.